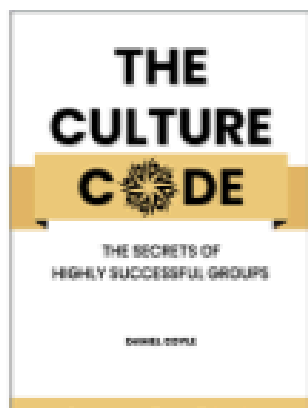




THE CULTURE CODE

The Secrets of Highly Successful Groups

DANIEL COYLE

The Big “So What”



Why do some groups perform at a level beyond the sum of their individual parts while others perform below that? The answer lies in their culture. In this book, Coyle demystifies how a great culture is formed and presents the code that you can use to create and sustain a great culture.

Introduction



Groups of business school students and kindergartners were challenged to build the tallest possible structure using uncooked spaghetti, tape, string and marshmallow. The business students discussed ideas and options, decided on a strategy and divided their tasks systematically. The kindergarten kids stood closely in a circle, started on the task without any strategy, and spontaneously exchanged ideas along the way. Surprisingly, the kindergartners built structures that were on average twice the height of the business students'. It turns out that group performance depends more on how people interact with one another than on their individual skills.

Does this apply universally for successful groups and cultures? How are great cultures built and sustained? To answer these questions, Coyle spent 4 years researching exceptionally-successful groups and comparing them with less successful ones.

- Specifically, he studied outstanding groups including San Antonio Spurs, U.S. Navy SEALs' Team Six, Zappos, Google, IDEO and Pixar. These groups were chosen as they had (i) the top 1% performance in their domain, (ii) a variety of employees, and (iii) a widely-admired culture.
- He found that these cultures stood out not because of the intelligence or skills of individual members, but because of their

KEY QUOTES

"Individual skills are not what matters. What matters is interaction".

"While successful culture can look and feel like magic, the truth is that it's not. Culture is a set of living relationships working towards a shared goal. It's not something you are. It's something you do."

relationships. These in turn were built on 3 critical skills: (i) building safety, (ii) sharing vulnerability, and (iii) establishing purpose.

- Using a story-telling style, Colye presents (i) highlights and stories from his research, (ii) related empirical studies and (iii) ideas on how you can nurture the skills in your groups. In this summary, we've distilled and re-organized the key ideas into 3 sections, each focusing on 1 of the 3 vital skills.

Skill 1: Build Safety



In great teams, members constantly send signals of connection that say “you’re safe”. Safety is like the glue that bonds people together, creating a sense of belonging and the foundation for risk-sharing, open debate/communication and learning.



Why safety matters



Human beings are social animals. Our subconscious brain is always on the lookout for danger—when we feel threatened, we instinctively move into a fight-or-flight mode to protect ourselves. However, when we feel safe and connected, we move into a social mode to forge closer ties with our group.



Cues > content. Such subtle cues are often more important than the actual content being communicated. Alex Pentland found that negotiations outcomes can usually be predicted within the first 5 minutes of the interactions based on dynamics such as the energy levels and vocal patterns. When entrepreneurs are pitching their ideas to business executives, the outcomes depend more on the cues being exchanged than the content being presented—the same business plans, when evaluated on paper without the social cues, produced vastly different outcomes.



People are naturally more positive when they feel connected to others who care about them.

- Patients who had attempted suicide were less likely to be readmitted if they received a postcard from the hospital after they were discharged.

KEY QUOTES

“The belonging cues sent in the initial moments of the interaction mattered more than anything they said.”

“The content of the pitch didn't matter as much as the set of cues with which the pitch was delivered and received.”

- If you approach a stranger on a rainy day and ask, "I'm sorry about the rain...can I borrow your cell phone?", you're 422% more likely to get a positive response than if you say, "Can I borrow your cell phone?"
- Adding this sentence can drastically improve the response to feedback: "I'm giving you these comments because I have very high expectations and I know that you can reach them." This simple statement conveys that you belong to a group with high standards and someone believes you can achieve them.



Active listening is an important ingredient to develop a deep connection and encourage people to open up. Neurologist Dr Carl Marci found that it's possible for the emotional arousal cues of 2 people to be perfectly synced. This typically happens when one person is listening attentively and responding authentically to the other person's emotions.



Safety in groups



Coyle observed that all great teams share a strong chemistry. Members tend to have close physical proximity (e.g. they're seated close together, share lots of fist bumps or hugs), focused communication (e.g. eye contact, attentive listening), and/or share short dynamic exchanges with lots of questions.



Such behaviors send vital "belonging cues" that make people feel psychological safe. Specifically, (i) *energy* is being invested in the interaction, (ii) people are being treated as unique and valued *individuals*, and (iii) they receive signals that there's a *future* to the relationship. Such cues add up to make people feel safe and connected with a sense of shared future with their group.



Belonging cues are vital when a new member first joins your group.

- WIPRO was one of the most successful call centres in India. However, in the late 2000s, staff started to leave in droves. They tried improving salaries and perks but nothing worked.

KEY QUOTES

"The most important moments in conversation happen when one person is actively, intently listening."

"Belonging cues are behaviors that create safe connection in groups."

- Then, in 2010, they did an experiment by varying the training for new hires. Specifically, new hires were split into 3 groups, with differences in just 1 hour of their training:

Control Group	Group 1	Group 2
Standard training	Standard training + 1 hr on WIPRO identity + sweatshirt with WIPRO logo	Standard training + 1 hr of sharing about each new staff and what he/she brought to WIPRO + sweatshirt with staff name next to WIPRO logo

- After 7 months, retention rates for Group 2 trainees were 250% and 157% better than Group 1 and Control Group trainees. By investing 1 hour to send belonging cues, WIPRO built a foundation to develop a sense of connection and identity amongst new hires.



How are strong relationships built? Gregg Popovich is recognized as one of the best National Basketball Association (NBA) coaches who shaped the San Antonio Spurs into a close-knit team with an unusually high win-lose ratio. We can learn a lot about safety and connection by observing him and the Spurs as a group.

- Popovich is a disciplinarian who'd relentlessly push his players to achieve the highest standards. At the same time, he goes out of his way to build deep bonds with every player. The process starts during recruitment, where he'd spend days with potential recruits and their families to get to know them personally. When he's with the Spurs, he speaks their languages, talks about their lives, touches them on the elbow, shoulders, arms and sometimes moves so close that they're nose-to-nose. Players don't just connect over basketball; they watch documentaries together and discuss issues ranging from voting rights to terrorism.
- When asked to name their biggest team moment, most of the Spurs pointed to a night in 2013 when they suffered one of their worst defeats. Instead of reprimanding the players, Popovich reached out to each person with hugs, smiles and appreciation. People talked, cried, got past the loss and reconnected as a team.

KEY QUOTES

"Group performance depends on behavior that communicates one powerful overarching idea: We are safe and connected."

"There are bigger things than basketball to which we are all connected."

"In a moment that could have been filled with frustration, recrimination, and anger, he filled their cups."

↓
↗ ↖ In strong cultures, it's also common for people from all walks to mix regularly in close proximity.

- Zappos' CEO Tony Hsieh firmly believes in designing spaces and systems for "collisions", i.e. helping people to meet and connect in a way that generates energy and possibilities. As a leader, he doesn't give direct advice or instructions; he connects you with the right people so you can figure out the answers you need.
- MIT professor Thomas Allen found that desk-arrangements affect the level of visual contact and social connection, to indirectly affect team cohesiveness. When the distance between people falls below 8m, communication frequency increases exponentially. However, when people are vertically separated on different floors, they become alienated.



Ideas for building safety and connection

Building safety is more of an art than a science. The only way to recognize subtle cues/patterns and know the right signals to send at the right time is to learn it through real-life interactions. Here are several ideas we can glean from the outstanding cultures:



Create safety and connection in communication:

- Use a range of signals to show you're listening, e.g. maintain eye contact, lean your body forward, nod regularly. Don't interrupt.
- Share your fallibility (e.g. your fears and concerns) upfront, especially if you're the leader. This creates a connection and makes it less threatening for others to speak up. Use phrases like "that's just my view and I may be wrong" or "what am I missing?"
- Welcome bad news so people feel safe to share the truth.
- Say "thank you". These 2 words make people feel appreciated and create a sense of connection.
- Don't use "sandwich feedback" to insert a criticism between a positive open and close. Separate recognition/praises from targeted feedback sessions.

KEY QUOTES

"Hsieh has built a machine that transforms strangers into a tribe."

"Proximity functions as a kind of connective drug. Get close and our tendency to connect lights up."

"Interruptions shatter the smooth interactions at the core of belonging."

"Thank-yous aren't only expressions of gratitude; they're crucial belonging cues that generate a contagious sense of safety, connection, and motivation."

- Ensure everyone is heard using process, rules and norms, e.g. make it a rule that everyone must share something at a meeting, or anyone can bring up any issue to senior leaders.
- Have fun. Laughter is a powerful signal of safety and connection.



Send belonging cues consistently to build safety and identity:

- Be rigorous in your hiring process, as it sends a strong signal on what it means to be part of the group.
- Establish a link between where people are vs where they can be. Show how others have succeeded e.g. "5 years ago, he was standing in the exact same spot where you are".
- Define your boundaries. Every strong culture has behaviors that are unacceptable. Name yours explicitly.



Design spaces and systems for consistent belonging cues:

- Create spaces for people to collide. Design your offices in a way that facilitates spontaneous meetings between staff from all levels and departments, e.g. having shared corridors and common cafes. When the Bank of America aligned team members' schedules so they could have joint coffee breaks, productivity improved by 20% and turnover decreased by 28%.
- When people first join your group, they quickly decide if they belong. Use "threshold moments" to help people feel like they're part of something bigger. For example, on their first day of work, all new hires at Pixar are given the directors' seats in the screening theatre and told "Whatever you were before, you are a filmmaker now. We need you to help us make our films better."

Skill 2: Share Vulnerability



In strong teams, members show their weaknesses, share honest feedback, embrace uncomfortable truths and share risks. This creates a foundation of trust and builds the muscles for cooperation.

KEY QUOTES

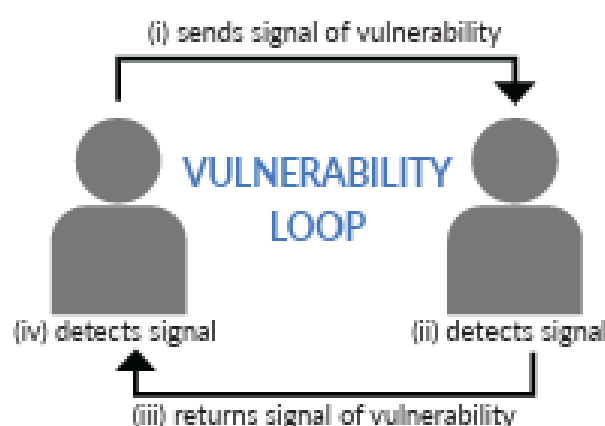


The Vulnerability Loop



Vulnerability is about sending a clear signal that you need help.

- It can build trust and cooperation so long as the receiving party detects the signal and returns a vulnerability signal (vs pretending to have no weakness). This creates a vulnerability loop and a sense of mutual-need.



- Studies found an inverse relationship between vulnerability and cooperation. The greater someone's perceived power, the less willing they are to cooperate.



It's uncomfortable to ask for help or get candid feedback. Yet, this is required in order to deepen trust and solve problems. In all successful cultures, Coyle found leaders, catalysts, systems and/or practices to build risk-sharing and candor in the group.

- The U.S. Navy SEALs are known for their close-knit teams that operate seamlessly with decentralized control. Such deep bonds are forged from the onset in their week-long selection program, Hellweek. Every aspect of the training is team-based, with officers going through the training alongside recruits. Recruits go through such extreme levels of pain and fear that they can't survive unless they fully trust and work with their teammates. Through shared perils, SEALs learn to open up, forge close ties and understand one another so well that they can communicate with just a look or a subtle shift in body language.
- After every mission or training, SEALs hold after-action reviews (AARs) to unravel what truly happened. People candidly share why they did/didn't take certain actions, the mistakes they made, and how each person can specifically improve in future. Such AARs are led by the enlisted men (not the commanders), with the goal of allowing people to learn from one another's experiences and mistakes. Over time, the teams form a shared mental model for the future and can operate like a single organism.

KEY QUOTES

"Being vulnerable together is the only way a team can become invulnerable."

"These groups are cohesive not because it's natural but because they've built, piece by piece, the shared mental muscles to connect and cooperate."

"Vulnerability doesn't come after trust—it precedes it. Leaping into the unknown, when done alongside others, causes the solid ground of trust to materialize beneath our feet."

"These awkward, painful interactions generate the highly cohesive, trusting behavior necessary for smooth cooperation."

- Since 1995, Pixar made 17 feature films (e.g. Toy Story, Cars), all of which became hits. This comes from a rigorous process of refining each movie. BrainTrust meetings are a critical part of this process—veteran directors and producers gather to watch the latest version of a work-in-progress movie and share their feedback. For this to work, the film director must be willing to hear the hard truths (e.g. the characters lack depth, the plot is confusing) while the other veterans must put aside their egos to focus solely on improving the movie.
- IDEO (which has won the most design awards for companies) uses tools and questions to help teams to uncover underlying tensions and trigger creativity. To send signals of vulnerability and connection, team members are encouraged to use statements like: "The 1 thing that excites me about this project is....", "I confess, the 1 thing I'm not so excited about this project is....", or "What I'd really like to get better at is..."



Ideas for sharing vulnerability and building trust

It takes time and effort to build candor and shared vulnerability, during which the process can seem painful and inefficient. Be patient and embrace the process.



Don't assume cooperation will happen naturally. Send intentional signals for cooperation:

- Deliberately communicate expectations of cooperation.
- Leaders should send vulnerability signals first and often, e.g. "I screwed up there" or "I'm scared about our future". Former Googler Lazlo Bock suggests that leaders ask 3 questions: What's 1 thing I currently do that you'd like me to continue? What's 1 thing I don't currently do often enough that you'd like me to do more frequently? What can I do to help you be more effective?
- Leaders should show you're in it with the rest of the group, be it doing menial tasks like picking up the thrash, or doing away with executive perks like allocated parking lots.

KEY QUOTES

"All our movies suck at first...The BrainTrust is where we figure out why they suck, and it's also where they start to not suck."
-Ed Catmull

"Building habits of group vulnerability is like building a muscle. It takes time, repetition, and the willingness to feel pain in order to achieve gains."

- Focus on 2 crucial moments in new group formation. During the first incident of vulnerability, show a willingness to explore weaknesses (not hide them). During the first disagreement, welcome alternative viewpoints (not defend your views).

Master the art of communication.

- When listening, be like a trampoline: absorb what's being communicated, offer support and energy to bring the conversation and the other party to a higher level. Use gestures and affirmations to encourage the other person to keep sharing. Refrain from interrupting or jumping in with your suggestions.
- Address negative issues in person, not via electronic means.
- Use language to send the right signals, e.g. IDEO's call their project managers "design community leaders".



Nurture personal growth and mutual understanding:

- Leaders should step back often to let members work out solutions on their own.
- Give targeted feedback instead of personal judgements. Handle performance reviews (which involves judgement and compensation) separately from professional development (which involves strengths-use and support for growth).
- Use "flash mentoring", i.e. shadow someone for a few hours to learn from them and cultivate understanding.



Develop practices to encourage candor. The goal is to help team members to open up, share vulnerabilities and jointly figure out what works and doesn't work. Here are some models you can use:

- SEALs' After-Action Reviews (AARs). Use these questions to review what happened in a project: What were our planned results? What were our actual results? What caused these results? What should we do similarly or differently next time? Ideally, have your team members run the AARs without leadership involvement. You can also use Before-Action Reviews to prepare yourselves for possible challenges.

KEY QUOTES

"Good listening is about more than nodding attentively; it's about adding insight and creating moments of mutual discovery."

"The goal of an AAR is not to excavate truth for truth's sake, or to assign credit and blame, but rather to build a shared mental model that can be applied for future missions."

- Pixar's BrainTrust. Have experienced leaders come together to share feedback for another colleague's project, but refrain from sharing solutions so the project leader still has full ownership.
- Red-Teaming. Form an independent "Red Team" to develop counter-strategies to your plan—this brings up alternatives that your team may not otherwise anticipate.

Skill 3: Establish Purpose



Strong cultures use stories, language and behaviors to reinforce their purpose and shared values. People are constantly reminded about the direction they're going, what they stand for and where to focus their efforts.



In most groups, people lack clear direction. In an Inc. magazine survey of 600 companies, 64% of the executives predicted their staff could name the company's top 3 priorities, when in reality only 2% could. In strong cultures, such priorities and goals are explicitly named and reinforced through countless signals, so people are absolute clear on where they are and where they want to be.



Stories and narratives are powerful tools to help people connect their daily work to a shared future.

- Psychologist Adam Grant did an intervention at a call center where workers phoned university alumni for scholarship donations. After he got scholarship recipients to share how the donations impacted them, the call center staff spent 142% more time on the calls and weekly revenues increased by 172%.
- In 1943, the founder of Johnson & Johnson (J&J) wrote a 311-word credo that described its relationship with each and every stakeholder group. 3 decades later, senior leaders intentionally reviewed if the credo was still relevant and decided to recommit to it. Then, in 1982, 6 people died after consuming Extra-Strength Tylenol capsules laced with cyanide, triggering a major PR crisis. J&J leaders used the credo as a guide to make hundreds of tough decisions—they recalled every Tylenol product from the market, introduced

KEY QUOTES

"The real courage is seeing the truth and speaking the truth to each other."

"High-purpose environments are filled with small, vivid signals designed to create a link between the present moment and a future ideal."

"Purpose isn't about tapping into some mystical internal drive but rather about creating simple beacons that focus attention and engagement on the shared goal."

"Stories are not just stories; they are the best invention ever created for delivering mental models that drive behavior."

new tamper-proof packaging and proactively engaged stakeholders. Their response was so sound and consistent that Tylenol eventually recovered its market share and this became a widely-cited case-study for corporate crisis management.



Artifacts are also a vital part of cultural reinforcement. The SEALs HQ is full of items to commemorate fallen SEALs, the Pixar HQ is filled with life-sized Pixar characters, and KIPP schools are full inspiring words like “Where will YOU go to college”. These are beacons to remind people of (i) where they are and (ii) where they want to go. When people can see the specific challenges they must overcome to reach their desired future, they’re more motivated to take concrete steps to make things happen.



Shared meaning affects group behaviors and how quickly people learn and improve as a team. Researcher Amy Edmondson studied surgical teams that were mastering a new heart surgery technique. She found that the teams’ rate of learning wasn’t affected by their prior experience or organizational support. Teams that mastered the technique most quickly shared 5 signals: (i) they *framed* the task as a learning experience (not a chore), (ii) members were told why they each played a vital *role*, (iii) they did detailed *rehearsals*, (iv) members were coached to *flag out problems*, and (v) the teams reviewed their results and areas for improvement.



Building Proficiency vs Creativity



To create a high-purpose environment, you must first know if/where you need to build proficiency vs creativity in your group. Proficiency is about performing a task consistently while creativity is about empowering people to create something that doesn’t yet exist.



To develop proficiency, you need a blueprint with crystal-clear directions and checkpoints—such as rules of thumb, rewards for skills attainment—to show how to get from Point A to Point B.

KEY QUOTES

“Motivation is not a possession but rather the result of a twopart process of channelling your attention: Here’s where you’re at and Here’s where you want to go.”

“High-proficiency environments help a group deliver a well-defined, reliable performance, while high-creativity environments help a group create something new.”

- In nature, colonies of ants/bees can organize themselves using a series of simple decision-making heuristics. Likewise, human groups can use heuristics to guide collective behaviors. The key is to help people to connect with the ideas, e.g. using catchy phrases, vivid images, and ensuring leaders lead by example.
- 80% of New York restaurants fail within 5 years. Yet, in 30 years, Danny Meyer opened 24 successful restaurants out of 25. His restaurants are known for their warm and homely service. The staff go out of their way to notice customers' preferences and pass the info on to other restaurants to ensure the same personal touch. Meyer achieved such high, consistent service standards by using language to teach behaviors. After opening his 2nd restaurant, he invited all his staff to a retreat where they defined their top values and core purpose—"We take care of people". Meyer explicitly named the desired behaviors using maxims and catchphrases like "make the charitable assumption" (i.e. give people the benefit of the doubt), "collect the dots" (i.e. gather info about guests) and "connect the dots" (i.e. use the info to create happiness).
- New Zealand's All-Blacks rugby team uses phrases like "pressure is a privilege" or "go for the gap". KIPP uses catchphrases like "no shortcuts" or "if there's a problem, we look for the solution". These heuristics help the high-proficiency groups to capture their core priorities and behaviors in simple, memorable terms.



To develop creativity, you need to provide support, tools and resources to allow people to explore and arrive at an unknown destination. This includes making it safe to fail, protecting creative autonomy, and rewarding initiative.

- Winning creations don't come from a flash of brilliance, but a series of deliberate steps to filter out ideas with potential, and to shape a raw unviable concept into a great one.
- Coyle found that the leaders of creative cultures tend to be quiet, observant, and systems-oriented—they're "creative engineers", not artists. Ed Catmull, president and co-founder of Pixar, is such a leader; he focuses on helping others to discover their potential rather than telling them what to do.

KEY QUOTES

"The trick is not just to send the signal but to create engagement around it."

"Building purpose in a creative group is not about generating a brilliant moment of breakthrough but rather about building systems that can churn through lots of ideas in order to help unearth the right choices."

Pixar spent years developing systems to methodologically polish their films. In fact, most of the final movies are totally different from the original drafts. Catmull, too, has his own mottos like “hire people smarter than you” and “fail early, fail often”.



Ideas for Establishing Purpose

★ Explicitly name your priorities, values and purpose.

- Review and recommit to them regularly.
- Use artifacts, stories and narratives to bring ideas to life.
- Define 1 measure per role to highlight what truly matters. For example, Zappos' call center measures Personal Emotional Connections instead of the number of calls handled. This simple measure guides staff to focus on creating bonds with customers rather than rushing through the calls.



Shape behaviors with simple heuristics and keep reinforcing them. Such signals may seem cultish or corny to external parties, but are an effective reminder to create internal clarity for your group.

- Define behaviors that set the bar and tell stories about them repeatedly.
- Use catchphrases, e.g. Zappos' “create fun and a little weirdness” or IDEO's “talk less, do more”.



Identify where you need proficiency vs creativity in your group, and build the right environment and infrastructure to support them.

Other Details in the Book to Look out For



In this summary, we've distilled the key ideas and tips for each of the 3 vital group skills. In the book, Coyle also presents many other vivid examples of groups ranging from armies to airline crew, comedy groups, jewel thieves and soccer hooligans. For more details, please visit <http://danielcoyle.com>.

KEY QUOTES

“High-purpose environments don't descend on groups from on high; they are dug out of the ground, over and over, as a group navigates its problems together and evolves to meet the challenges of a fast-changing world.”

“What seems like repetition is, in fact, navigation.”

“The goal here is not precision; it is to create awareness and alignment and to direct behavior toward the group's mission.”